

fact. You know there is a buyer there. What else do you know? Go back and see what happened the last time the market got to this level. You can look at the chart. I also used volume as a screen for what stocks I should be looking at. My thought process would be: *There is lots of volume. Something is going on. Can I develop a view from that?*

How important were charts to your trading?

Charts are simply a record of how things have traded in the past. That's it. I am not a big believer in chart analysis. It is extremely appealing to think that you can take a data set from the past and predict what will happen in the future. It is very attractive because as a human being you are always looking for certainty. You can use charts to give you a plus or minus toward your view, but you can never start with the chart. To say that you can predict the future from past data is patently untrue. You can talk about percentage probabilities of what might happen next, but you can't go any further than that. So I would combine the charts with other facts, such as what I knew about where the orders were and the market volume.

How long were you a market maker for Warburg Securities?

I stayed for two and half years. I left because I was only being paid £13,000 per year, and I was clearly the best trader they had in that area. Lehman Brothers offered me a job for £50,000 per year. I went back to Warburg and told him that I was leaving because I had a much better offer.

They said, "We can put you at £28,000."

I said, "Why £28,000? Why not £50,000?"

"Well," they said, "We have all these tiers, and you are a trainee."

I thought that was total bullshit. They could do whatever they wanted. So I went to Lehman Brothers.

Here is where it gets interesting. Warburg was number one rated. I came from a place where you were imbued with the feeling that you were the best. I went to Lehman Brothers, and I couldn't make a penny.

Why is that?